

Contemporary Political Theory - Subject: Limits of Government

Prompt: What is the strongest socialist criticism of liberalism provided by Milton Friedman? Would our society be best off embracing liberal individualism or should it adopt socialism?

The Limits of Liberal Individualism through a Socialist Lens

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The ideologies of liberal individualism and socialism differ on how they prioritize the values of freedom and equality, raising the question of which aspect constitutes a “greater” society. Liberal theorists, such as Milton Friedman, argue that individual freedom remains the most important value, best protected through market competition and limited interference from the state. Conversely, socialists contend that a shared ownership of production and equal opportunity is the foundation for a well-functioning society. This essay asks what the strongest social criticisms of Friedman’s liberalism are, and what form of political thought a society should ideally adopt. To answer these questions, I draw on the arguments of G. A. Cohen and Nancy Fraser, who prove how market societies produce economic and political instability. I also examine the ideas of David Miller and André Gorz, whose accounts of socialism suggest how a more equal and democratic society could be organized. This question extends beyond political theory by forcing us to consider whether accepting inequality in exchange for market freedom is justified, and what kind of future such a trade-off creates for our society. I argue that the strongest socialist criticism of Friedman’s liberal individualism is that market freedom leads not to genuine liberty, but instead to inequality and economic domination. I further assert that when compared to liberal individualism, socialism offers the basis for a better society by grounding life opportunities in equality and cooperation.

Milton Friedman’s defense of liberal individualism is based on the premise that competitive capitalism and minimal state interference are the arrangements most capable of guaranteeing political liberty. For Friedman, freedom in the market functions as “an end in itself” and “an indispensable means toward the achievement of political freedom” (*Capitalism*, 8). Through this idea, he posits that because the state inherently exercises coercive power, agents

who participate in state-regulated markets are subject to a loss of liberty. By organizing our society through voluntary exchange, Friedman argues that freedom is maximized and serves as the sole public value. In his view, the separation of economic and political power is meant to ensure the “absence of coercion of a man by his fellow men” as the “fundamental threat to freedom is power to coerce” (Capitalism, 15).

However, G.A. Cohen uses socialist ideals to highlight a fundamental flaw in liberal logic, challenging the moral and practical quality of this “voluntary” action. While Friedman believes a market-centered society to be a harmonious working model of cooperation, Cohen contends that the actual “motive to productive activity in a market society” is influenced by a “mixture of greed and fear” (Socialism, 66). In this environment, individuals do not view others as allies, but rather as “possible sources of enrichment” or “threats” to their personal wealth (Socialism, 66). Cohen exemplifies this dilemma of selfishness perfectly through his analogy of a camping trip, noting that the majority of people would hate a trip “on the principles of market exchange and strictly private ownership” (Socialism, 66). Instead, Cohen finds that most would prefer that the camping trip take after the socialist ideal on the grounds of fellowship and collaboration. Although Friedman presents the market as a cooperative society, Cohen argues “nobody cares fundamentally, within the economic game, about how well or badly anyone other than herself fares” (Socialism, 67).

Further, the self-serving market in Friedman’s society is not merely a moral failing, as Cohen suggests, but the root of domination that Nancy Fraser identifies as the core problem of the capitalist structure. While Friedman claims that the market separates power to protect the individual, Fraser argues that this arrangement actually creates a “hostile power that dominates the very workers that produce it” (Cannibal, 146). Crucially, the “free propertyless workers” may

appear to be making voluntary choices in Friedman's perspective, but Fraser points out that they "work many hours for free, producing enormous wealth in which they have no share" (Cannibal, 146). Without ownership over the means of production, the worker's choice to enter the market is mainly a necessity driven by survival, not a luxury of choice. Although Friedman supposedly produces political freedom through the market, Fraser counters that this freedom is "systematically undercut by social inequality," while the workplace remains devoid of "any pretense of democratic self-governance" (Cannibal, 146). Ultimately, these socialist critiques reveal that Friedman's liberal vision is a hollow shell, masking a reality where capital has a "built-in tendency to erode, destroy, or deplete—but in any case, to destabilize—its own presuppositions" (Cannibal, 150). By exposing these structural flaws, it becomes evident that the freedom Friedman advocates for is functionally incomplete, existing only to support a market-based society. Consequently, determining the best organization of society requires looking beyond freedom to ideals such as equality and cooperation that Friedman's model often obscures.

In addressing the question of whether society would be best off embracing liberal individualism or socialism, one must first recognize that Friedman's argument relies on a narrow definition of what constitutes a "better" society. For Friedman, a society is measured almost exclusively by market freedom and the absence of state interference. However, individual freedom is not the only value essential to a successful society, as Friedman largely ignores many components like equality, cooperation, and democratic participation. When these broader factors are considered, it is clear that socialism emerges as a superior foundation. André Gorz develops this critique, noting that socialism aims to organize society so the drive for profit is "locked into

a total social framework” (Agenda, 39) and subordinated to social goals. Rather than allowing the market to dominate political life, socialism limits economic activity “at the service of a humane society” (Agenda, 38). The purpose of the economy is then redefined, not as an end in itself, but as a tool for enhancing society as a whole. Additionally, G.A. Cohen argues that socialism is necessary to “correct for all unchosen disadvantages” (Socialism, 62) that the model of liberal individualism ignores. Whether these inequities stem from “social misfortune or... natural misfortune”, they are mitigated under a socialist framework, which guarantees that differences in outcomes reflect only “differences of taste and choice” (Socialism, 62). By fixing the inequality created by “opportunities that privileged people enjoy” (Socialism, 61), socialism seeks to ensure that life is built on the principle of fairness rather than being a biased struggle.

Beyond promoting economic fairness, socialism also expands democratic participation in ways that liberal individualism cannot. Whereas liberalism frames the economy as a private sphere, Fraser contends that socialism “must democratize the process of institutional design” by turning all realms of life into “a political question” (Cannibal, 153). In this sense, the structures that shape the lives of citizens are no longer left to the decisions of wealthy individuals, but are instead subject to collective democracy. By expanding the definition of the political, socialism enables individuals to participate not just as consumers, but as active agents who shape the society they live in. Moreover, this expansion of democratic control is necessary because it allows society to collectively address a broader range of problems, “namely, social reproduction, structural racism, imperialism, de-democratization, and global warming” (Cannibal, 157). In doing so, it overcomes the limitations of liberal individualism, which isolates individuals and leaves such pressing issues unresolved. Thus, socialism is essential in overcoming an

"intergenerational injustice" (Cannibal, 154), as it establishes the conditions needed for a more equal and sustainable society.

Despite the ethical appeal of a society that is organized around equality and democracy, advocates of liberal individualism will argue that socialism's lack of freedom prevents it from surpassing a capitalist society. Adding to this critique, Friedman contends that a defining feature of a complete society is the ability to advocate for a change in structure, arguing that in capitalist societies, individuals can "openly advocate and work for socialism" (Capitalism, 16). Friedman then questions the same ability in a socialist society, as "all jobs are under the direct control of political authorities", but advocacy still requires citizens to "earn a living" (Capitalism, 16). Friedman concludes the critique of socialism by stating that arguments against his liberal individualism are an inherent "lack of belief in freedom itself" (Capitalism, 15). From this perspective, socialism risks concentrating power in the government, which prevents its citizens from potentially challenging the system itself. However, I argue that socialism provides citizens with a different form of freedom that is still essential to political life, albeit not in the market. The liberal individualist perspective emphasizes negative freedom as its main contention, yet socialism offers an enticing alternative through positive freedom, in which citizens have the ability to act on their own will. Also, while Friedman believes the market gives power to citizens through labor, David Miller argues that the market actually restricts freedom through a competitive framework. By forcing its citizens to focus on "individual responsibility" to secure their place in society, liberalism creates an environment where the "justice of markets" wins against the "justice of the community" (Relevance, 357) in collective social goals. In this way, participation and competition in the market are enforced, which is contradictory to the

“liberating” aspect that Friedman argues for. Fundamentally, while liberal individualists source their freedom through non-coercion, socialism offers a more meaningful version of freedom, which society is better off adopting.

As this essay has proven, Milton Friedman’s argument of capitalism hinges on the concept of liberty that ignores the structural pressures and inequalities of the market. Through the socialist critiques of G.A. Cohen and Nancy Fraser, it becomes clear that an economically driven society is intrinsically self-sabotaging and cannibalistic. By treating the economy as a private sphere and focusing on negative freedom, liberal individualism leaves collective problems in the hands of unafflicted individuals and facilitates a lack of democratic control. In contrast, socialism adheres to a conception of freedom that establishes a more substantive model for organizing modern society. Even in contemporary times, “the socialist project is well worth pursuing” (Cannibal, 157), and serves as a sustainable solution for a just future, opposed to a capitalist society that is prone to collapse.

Works Cited

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